

25PSCV01468 25PSCV01468

County: los-angeles

Division: Civil Law and Motion

Department: G

Hearing date: 2026-09-03

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Case Number: 25PSCV01468 Hearing Date: September 3, 2026 Dept: G

Plaintiff East West Bank's Application for
Default Judgment

Respondent: NO OPPOSITION

Plaintiff East West Bank's Motion for an
Order Depositing the Interpleader Funds with the Clerk; Discharge and Dismissal
of Plaintiff East West Bank from Interpleader Action; and Accounting and
Reimbursement of Attorney's Fees and Costs

Respondent:
Defendants ACD International Trade and Miao Liu

TENTATIVE
RULING

Plaintiff
East West Bank's Application for Default Judgment is GRANTED.

Plaintiff
East West Bank's Motion for an Order Depositing the Interpleader Funds with the
Clerk; Discharge and Dismissal of Plaintiff East West Bank from Interpleader
Action; and Accounting and Reimbursement of Attorney's Fees and Costs is
CONTINUED.

BACKGROUND

This

is an interpleader action. On August 4, 2023, defendant Miao Liu (Liu) allegedly opened an account with plaintiff East West Bank on behalf of defendant ACD International Trade (ACD). On October 4, 2024, defendant Chad Edward McKay (McKay) allegedly sent a \$65,000.00 wire transfer to ACD's account. On October 9, 2024, defendant Ali Makhmalbaf (Makhmalbaf) allegedly sent a \$70,000.00 wire transfer to ACD's account. On October 11, 2024, Makhmalbaf allegedly sent a \$75,000.00 wire transfer to ACD's account. On October 21, 2024, defendant Huaning Wang (H. Wang) allegedly sent a \$23,100.00 wire transfer to ACD's account.

On November 27, 2024, nonparty Wells Fargo & Co. (Wells Fargo) allegedly requested a recall of Makhmalbaf's second wire transfer due to fraud; and nonparty The Charles Schwab Corp. (Charles Schwab) allegedly requested a recall of McKay's wire transfer due to fraud. In response, East West Bank allegedly placed a restriction on ACD's account and requested permission from ACD and Liu to return the transferred funds to McKay and Makhmalbaf. On November 29, 2024, ACD and Liu allegedly denied East West Bank's request for debit authority. On December 4, 2024, nonparty Truist Financial Corp. (Truist) allegedly requested a recall of Makhmalbaf's first wire transfer due to fraud. In response, East West Bank allegedly requested permission from ACD and Liu to return the transferred funds to Makhmalbaf. On December 5, 2024, ACD and Liu allegedly denied East West Bank's request for debit authority. On December 12, 2024, East West Bank allegedly removed the restriction on ACD's account, placed a hold on the \$210,000.00 in disputed funds, and informed the other financial institutions that it could not recall the wire transfers for lack of debit authority. In response, Liu allegedly withdrew \$500,000.00 from ACD's account and deposited the funds into his personal account. On March 6, 2025, nonparty Bank of America Corp. (Bank of America) allegedly requested a recall of H. Wang's wire transfer due to fraud. In response, East West Bank allegedly placed a restriction on ACD's account, placed a restriction on Liu's personal account, and requested permission from ACD and Liu to return the transferred funds to H. Wang. On March 17, 2025, ACD and Liu allegedly denied East West Bank's request for debit authority.

On April 23, 2025, East West Bank filed the Complaint, alleging one cause of action for interpleader.

On

June 18, 2025, the court entered default against Makhmalbaf and H. Wang. On November 3, 2025, the court set aside the entry of default against Makhmalbaf.

On

April 10, 2026, East West Bank filed the motion for default judgment, an order depositing interpleader funds, discharge and dismissal, and attorney's fees and costs. On May 26, 2026, ACD and Liu filed an opposition (as to attorney's fees and costs only), and on June 9, 2026, East West Bank filed the reply (as to attorney's fees and costs only). On June 17, 2026, the court denied the motion for default judgment and continued the motion as to the other requests pending resolution of the default.

On

July 17, 2026, East West Bank filed the application for default judgment, which is unopposed. On July 29, 2026, the court continued the application because East West Bank failed to dismiss parties against whom judgment was not sought or file an application for separate judgment. On August 26, 2026, East West Bank filed the application for separate judgment.

This

case is set for a order to show cause re: status of interpleader funds, an order to show cause re: default judgment setting as to H. Wang, and a continued hearing on the motion and application on September 3, 2026.

DEFAULT JUDGMENT

East

West Bank seeks default judgment against H. Wang. For the following reasons, the application for default judgment is GRANTED.

Legal
Standard

Code

of Civil Procedure section 585 permits entry of a default judgment after a party has failed to timely respond or appear. A party seeking judgment on

the default by the court must file a Request for Court Judgment, and: (1) a brief summary of the case; (2) declarations or other admissible evidence in support of the judgment requested; (3) interest computations as necessary; (4) a memorandum of costs and disbursements; (5) a declaration of nonmilitary status; (6) a proposed form of judgment; (7) a dismissal of all parties against whom judgment is not sought or an application for separate judgment under Section 579, supported by a showing of grounds for each judgment; (8) exhibits as necessary; and (9) a request for attorneys' fees if allowed by statute or by the agreement of the parties. (Cal. Rules of Court, rule 3.1800.)

Discussion

East

West Bank seeks default judgment against H. Wang in the total amount of \$44,620.67, including \$42,446.00 in attorney's fees and \$2,174.67 in costs. (See 6/17/2026 CIV-100, ¶ 2.) East West Bank submitted sufficient evidence to prove its damages. (See L. Wang Decl., ¶¶ 1–9.) East West Bank filed an application for separate judgment against H. Wang, explaining that the action will remain pending against ACD, Liu, Makhmalbaf, and McKay, or East West Bank will file an application for separate judgment. (See 8/26/2026 Appl. Separate Judgment, pp. 2–3; see also Cal. Rules of Court, rule 3.1800(a)(7).)

Therefore,
the application for default judgment is GRANTED.

MOTION

FOR ORDER DEPOSITING INTERPLEADER FUNDS, DISCHARGE AND DISMISSAL, AND
ATTORNEY'S FEES AND COSTS

In

light of the court's ruling on the default judgment, the court requires supplemental briefing on the impact of the default judgment on the motion for an order depositing interpleader funds, discharge and dismissal, and attorney's fees and costs. The court intends to set a briefing schedule at the hearing on September 3, 2026.

Therefore,
the motion for an order depositing interpleader funds, discharge and dismissal, and attorney's fees and costs is CONTINUED.

CONCLUSION

For

these reasons, the application for default judgment is GRANTED.

The motion for an order depositing interpleader funds, discharge and dismissal, and attorney's fees and costs is CONTINUED to a date to be determined at the hearing in Department G (Pomona).